

Trapped In Paradise

I TOOK A TRIP to the US last month and came across the subsidy trap on cell phones, which has led to a reduced choice of handsets amongst American consumers, and an increase in the clout telecom service providers have.

Democracy, and the right to choose, is purported to be the birthright of Americans. Strangely though, this is not the case when it comes to choosing a mobile phone. Consumers in US are still largely dependent on the mobile telecom service provider for the cell phone models they use. They might have the liberty to pick from a hundred kinds of breads, chocolates and cheese, but when it comes to cell phones, they are pretty much locked-in and restricted. This is because of two reasons: CDMA is the prevalent technology used there, and secondly, mobile phone manufacturers initially chose to tie up with telecom service providers to sell their phones instead of doing it all themselves.

Here's how it works: all major telecom service providers in the US subsidise the cost of the handsets (a discount of 50 to even 100 per cent), when bought along with a one or two year connection scheme. A hundred per cent saving? Who wouldn't want that, right? This means that almost 90 to 95 per cent of cell phones are sold through the telecom service provider rather than the mobile phone manufacturers themselves. Thus, if the service providers choose not to offer a particular phone model, then you'll have to shell out extra for your choice of model—buy it from a retail store, which are few and far between in the US.

Here in India, it's the same story with CDMA carriers, who offer discounts mainly for lower-end phones. However, at least we can buy our own choice of handsets from one of the innumerable retail stores, and get the provider to set it to our number.

Another implication of the US sales model is that when US subscribers switch providers, they can't use the same phone, because it is locked by the original service provider. The worst part is that they also have to take the pain of migrating all their contacts to the new phone.

Globally, half of all phones are sold by telecom carriers, while the other half are sold through retail stores. Retail sales account for 80 per cent of phones



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sold in Asia, 70 per cent in Europe, and a paltry 5 to 10 per cent for the US. It's no wonder that there's no variety of phone models being used in the US.

Nokia introduced 50 new models in the US market last year, and only few saw the light of day. Mobile manufacturers are now realising their folly of solely depending on the telecom service providers for their handset sales. Slowly but surely, manufacturers are selling directly to end-users via the Net and retail stores. It's going to take a long time before the stranglehold that providers have is broken, if ever...

Personally, I'm just glad I can keep my phone even if I switch providers, and most importantly, I chose my own phone!

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